PENSIONS BOARD 28 JANUARY 2026

Lambeth

Report title: Lambeth Pension Fund Overpayment and Underpayment Policy

Wards: All

Portfolio: Cabinet Member for Finance (Acting), Councillor Judith Cavanagh

Report Authorised by: Zena Cooke, Corporate Director of Resources

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REPORT SUMMARY

This report presents the Overpayment and Underpayment Policy for the Lambeth Pension Fund. The policy sets out procedures to prevent, identify, rectify, and govern the management of incorrect pension payments (overpayments and underpayments) in line with the Local Government Pension Scheme (LGPS) Regulations, HM Revenue and Customs authorised payments rules, and sector best practice.

FINANCE SUMMARY

There are no financial implications arising from the recommendations in this report.

RECOMMENDATIONS

Pensions Committee
To seek agreement from the Pensions Committee, in its role as Administering Authority, for the publication of the Overpayment and Underpayment Policy as shown in Appendix One.

Pensions Board
To note the Overpayment and Underpayment Policy, as shown in Appendix One, and provide any comments or recommendations to the Pensions Committee.

1. CONTEXT

1.1 The LGPS governance reforms place strong emphasis on clear accountability, robust risk management, and prioritising the interests of scheme members in all decisions. In response to these reforms, a dedicated Overpayments and Underpayments policy has been developed to replace reliance on the Council's corporate debt policy.

2. PROPOSAL AND REASONS

2.1 Overpayments and underpayments of pension can occur for a variety of reasons, such as delayed notification of a member's death, incorrect employer data or administrative errors.

2.2 Historically, the Lambeth Pensions Service (LPS) has managed these cases in line with best practice and with reference to the Council's corporate debt policy. However, with evolving LGPS governance expectations, introducing a dedicated Overpayment and Underpayment Policy is both timely and necessary to demonstrate robust governance and compliance.

2.3 This standalone policy ensures fairness and consistency in how members are treated. By clearly defining procedures for correcting errors, recovering overpayments, and managing underpayments, it provides a transparent framework that supports accountability, protects scheme members' interests and aligns with best practice across LGPS funds.

2.4 In summary, the policy covers the following areas:

2.4.1. **Prevention of overpayments** – The Fund has robust measures to prevent overpayments, including thorough pre-payment checks and prompt action on returned payments. Life certificates and suspension of pensions where correspondence is undeliverable help verify member status. Regular use of the 'Tell Us Once 'service, monthly reports on dependants' pensions, and annual checks for children in education ensure timely updates. Data sharing through the 'National LGPS database', participation in the 'National Fraud Initiative', and overseas existence checks further reduce risk. Monthly reconciliations of non-payroll payments add an extra layer of control.

2.4.2. **Responsibility of Scheme Members** – The policy makes it clear that there is an obligation for scheme members to notify the Fund if they identify or suspect that pension or lump sum payments are in excess of what they ought to be.

2.4.3. **Management and recovery of overpayments** – Overpayments are corrected promptly, with future payments adjusted and members notified. Small post-death overpayments under £250 are written off automatically; larger amounts are recovered through deductions or lump sums, considering hardship. Recovery periods are generally no shorter than the time overpaid, and irrecoverable amounts may be waived based on fairness and cost-effectiveness. Fraud cases trigger immediate suspension and investigation.

2.4.5. **Managing underpayments** – Underpayments are corrected immediately, with arrears paid within ten working days. Interest applies to late payments under LGPS rules, and tax is handled through pay as you earn (PAYE). Payments to estates follow statutory requirements.

2.4.6. **Authorisations** – It is proposed that the authority to write off individual overpayments is tiered in accordance with the values as shown below.

Total value of overpayment	Authority to write off overpayment
Below £250	Automatic write off
Between £251 and £2,500	Pensions Manager
Between £2,501 and £10,000	Assistant Director of Pensions
Between £10,001 and £25,000	Director of Finance
Above £25,000	Corporate Director of Finance

3. FINANCE

3.1 No additional financial implications arise from adopting the policy. Financial effect is risk mitigation through prevention controls and proportionate write-offs. Automatic write-off for small post-death overpayments reduces administrative costs.

4. LEGAL AND DEMOCRACY

4.1 The Lambeth Pension Fund is run in accordance with the Local Government Pension Scheme Regulations 2013 enacted along with other Regulations under the Superannuation Act 1972 and the Public Service Pension Act 2013 and is for the benefit of Council employees and outside organisations which have entered into an agreement with Lambeth to provide pensions for their staff.

4.2 The Pension Board and Committee must be mindful of the Council's fiduciary duty to obtain the best possible financial return on the investments.

4.3 The policy supports compliance with LGPS Regulations 2013, HMRC Authorised Payments Regulations 2009, and statutory time limits.

4.4 There are no additional comments from Democratic Services.

5. CONSULTATION AND CO-PRODUCTION

5.1 The policy has been drafted after being informed by benchmarking across LGPS authorities and other relevant resources to ensure alignment with sector best practices and current standards.

6. RISK MANAGEMENT

6.1 Risk management within this policy addresses multiple dimensions to ensure robust governance. Financial risk is mitigated through prevention controls and proportionate write-offs, while compliance risk is managed by maintaining strict alignment with LGPS and HMRC regulations. Operational risk is reduced by defining clear roles and authority levels, and reputational risk is safeguarded through the sensitive handling of bereavement cases. Additionally, fraud risk is addressed through active participation in the National Fraud Initiative (NFI) and conducting overseas existence checks.

7. EQUALITIES IMPACT ASSESSMENT

7.1 There are no equalities impacts arising from any decisions to be taken as a result of this report.

8. COMMUNITY SAFETY

8.1 There are no community safety implications that arise from this report.

9. CHILD FRIENDLY LAMBETH

9.1 Not applicable.

10. ORGANISATIONAL IMPLICATIONS

There are no implications against any of the sub-headings arising from this report.

Environmental

10.1 Not applicable.

Health

10.2 Not applicable.

Staffing and accommodation

10.3 Not applicable.

Responsible Procurement

10.4 Not applicable.

11. TIMETABLE FOR IMPLEMENTATION

11.1 Not applicable.

AUDIT TRAIL				
Name/Position	**Lambeth directorate/ division or partner**	**Date Sent**	**Date Received**	**Comments in para:**
Zena Cooke, Corporate Director of Resources	Resources	06.01.2026	15.01.2026	
Jacqueline Moylan, Interim Director of Finance	Resources	06.01.2026	12.01.2026	
Andrew Pavlou, Principal Lawyer - Governance	Resources	06.01.2026	08.01.2026	
Vanisha Mistry, Democratic Services Officer	Resources	06.01.2026	12.01.2026	

REPORT HISTORY

Report History	
Original discussion with Cabinet Member	N/A
Report deadline	15.01.2026
Date final report sent	15.01.2026
Part II Exempt from Disclosure/confidential accompanying report?	N/A
Key decision report	No
Date first appeared on forward plan	N/A
Key decision reasons	N/A
Background information	LGPS Regulations 2013 HMRC Authorised Payments Regulations 2009
Appendices	• Appendix One – Draft Overpayment and Underpayment Policy